AN ECONOMICS CASE COMPETITION

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PROBLEM STATEMENT

IN COLLABORATION WITH

YES SECURITIES

DRIVING USER ACTIVATION ON TRADING / INVESTING PLATFORMS IN VOLATILE MARKETS

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CONTEXT

Opening a trading and demat account has never been easier in India. Getting a new investor to actually use it is much harder. Millions of accounts sit dormant, and the problem gets sharper when markets turn volatile or take a bearish turn. Investors in India are largely risk averse and an unfavourable market strengthens their resolve to stay out of it.

Your task is to design a strategy that turns newly opened and dormant accounts on a digital investing platform into highly engaged, revenue active, daily users, in a way that works when markets are volatile and stays within the rules of a regulated industry.

DEFINITIONS

- Active users are those who have placed at least one trade in the last 12 months.
  - Highly Active users are those who have placed at least one trade in the last 3 months
- Inactive users are those whose accounts have been deactivated due to fraudulent activity or notice from the regulator.
- Dormant users are those who have not traded even once in the last 24 months.

(See Exhibit 1)

COMPANY

Trade Private Limited is a bank-led broking and investment services company offering retail and institutional investors access to equities, derivatives, mutual funds, IPOs and more.

ONL Trade, the digital trading and demat platform is available as a mobile app and on the web. It is built for a new generation of investors: first-time, digital-first, and often young (less than 30 years old). ONL Trade competes with well-known discount brokers and fintech apps that have raised the bar on onboarding speed, pricing and user experience. In terms of features, ONL is at par with its rivals.

Although ONL Trade is compatible with other banks as well, majority of the account holders belong to customers who hold an account with the parent bank.

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PRODUCT OFFERINGS, PRICING AND REVENUE MODEL

Trade offers the following products and services through ONL Trade. Prices are indicative.

Product / service	What customers can do	Indicative customer pricing	Revenue model
Cash equities	Buy and sell listed shares	₹0.15 per executed order	Brokerage per order
Equity derivatives	Access futures and options	₹20.00 per executed order	Brokerage per order
Mutual funds	Explore and invest in eligible schemes	₹0 brokerage on eligible direct plans	No execution brokerage on direct-plan transactions
IPOs	Apply for eligible new share issues	₹0 application brokerage	No application brokerage assumed
Demat services	Hold and service securities	Applicable maintenance/depository fees	Account and service fees
Research and learning	Access basic market information, research calls and education	Included in basic platform services	No separate subscription assumed

Taxes, exchange charges and other applicable fees are excluded.

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THE PROBLEM

The markets, on average, have been unfavourable over the last 12 months. Given that majority of Indians are risk averse, seeing returns go below expectations is making existing traders leave the market and deterring new investors from joining.
Trade Private Limited has seen very low number of active clients over the last year. The average activation rate is around 15% compared to an industry average of 20% to 40%.

The ONL team has tried regular communication via all available channels including WhatsApp, Emails, RCS and social media messages based on market information, successful research calls and offers for every first trade carried out. Parallelly, the ONL team runs financial literacy-based campaigns such as YouTube explainer videos, jargon simplifying newsletters and an active customer support team to answer unique customer queries. The overarching theme of the communication has been the importance of staying invested during an unfavourable market as well, with a focus on compounding and a long-term vision for growing wealth. However, the number of active users has not gone up.

WHY THIS IS HARD

Awareness gap: Many accounts are opened alongside another banking product, so the customer may not even remember they have a demat and trading account.

INDICATIVE ACTIVATION FUNNEL

Stage	What It Means	What Trade Pvt Ltd Sees
1. Account opened	Demat and trading account created through a digital journey	Volumes are healthy; onboarding is not the main bottleneck
2. First login	User opens the app or web platform for the first time	Drop-off begins here; some users never log in
3. Funded	User adds money to the trading account	Another steep drop
4. First trade / first investment	User places an order or starts a SIP	Very few new accounts reach this within the first month
5. Repeat and habit	User returns and transacts regularly	Many activated users gradually go dormant

- who the users are : Existing banking customers (See Exhibit 2a and 2b)

CONSTRAINTS AND GUARDRAILS

- Duration: 3 months to increase activation by 200 to 300 basis points.
- Regulatory: India's securities markets are regulated by SEBI and the exchanges. Communication must not offer investment advice, promise or imply returns, or induce customers to trade.
- Budget: Assume a lean marketing budget. Prefer ideas that use owned assets over large paid media.
- Product: Assume no rebuild of the core trading engine. New features should be realistic for an app team to ship within a quarter.
- Data and privacy. Personalisation should respect consent and data protection expectations.
- Ethical Standard: Do not use dark patterns, fear-based nudges or misleading urgency.

It is important to note that growth must be responsible. Regulators have repeatedly highlighted that many retail traders, especially in derivatives, lose money. A strategy that simply pushes people to trade more is neither ethical nor sustainable.

APPENDIX

All figures are indicative, constructed solely for the case competition. Figures are rounded where noted. Unless specified otherwise, snapshots are as at 30 September 2026.

EXHIBIT 1: ACCOUNT PORTFOLIO AND ACTIVITY CLASSIFICATION

Measure	Sep 2025	Sep 2026
Eligible accounts on platform	7,33,855	8,09,746
Active (≥1 executed trade in trailing 12 months)	1,07,889	1,19,339
Highly Active (≥1 executed trade in trailing 3 months)	66,943	82,086

EXHIBIT 2: COHORT WISE DATA FOR ACTIVATION

Some definitions to note first:

- MTD (Month-to-Date): The period from the beginning of the current month up to the current date.
- YTD (Year-to-Date): The period from the beginning of the current calendar or financial year up to the current date.
- LTD (Lifetime-to-Date): The cumulative period from the beginning of an activity, account or relationship up to the current date.

(Percentage figures are rounded to the nearest integer value)

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A. SEPTEMBER 2026

Client Categories as per Bank mapping	LTD Clients	Trailing 12 Months %	Trailing 9 Months %	Trailing 6 Months %	Trailing 3 Months %	Trailing 1 Month %
Prestige	3,096	35%	31%	28%	22%	16%
Elite	35,697	32%	29%	26%	22%	15%
Elevate	9,471	37%	34%	31%	27%	13%
Preferred	60,312	20%	18%	16%	14%	9%
Salary Account	6,27,853	14%	13%	11%	9%	6%
Credit Card	73,317	6%	6%	5%	5%	4%
Total	8,09,746	15%	13%	12%	10%	6%

B. SEPTEMBER 2025

Client Categories as per Bank mapping	LTD Clients	Trailing 12 Months %	Trailing 9 Months %	Trailing 6 Months %	Trailing 3 Months %	Trailing 1 Month %
Prestige	2,999	38%	34%	30%	24%	17%
Elite	34,865	36%	33%	28%	24%	17%
Elevate	6,959	41%	39%	34%	31%	24%
Preferred	72,826	21%	19%	14%	12%	9%
Salary Account	5,05,823	13%	12%	10%	8%	7%
Credit Card	1,10,383	9%	9%	4%	4%	4%
Total	7,33,855	15%	14%	10%	9%	7%